

Case Study Practice - Answers

Indicative content and mark guidance. Parts (c) need developed analysis chains (point - because - leads to - therefore) applied to the business; parts (d) need a clear, justified judgement/recommendation.

Case Study 1: Amara's Kitchen

- (a) Unlimited liability = the owner is personally responsible for all business debts; personal assets can be used to pay them. [2]
- (b) Any one, developed: limited liability protects Amara's personal savings if AK fails; OR easier to raise capital to fund the three new outlets; OR greater status/credibility with suppliers and lenders. [3]
- (c) Two factors developed, e.g.: (i) FINANCE - opening outlets needs large capital; if funded by debt, interest and repayments strain cash flow and risk insolvency. (ii) MANAGEMENT/QUALITY CONTROL - Amara cannot be everywhere; poor staff could damage the brand she built. Also demand reliability, location, competition. [8]
- (d) Organic (own outlets): keeps full control and all profit, protects the brand, but is slow and needs a lot of her own capital. Franchising: rapid growth funded by franchisees' money, less capital/risk for Amara, but less control over quality and she shares profit (royalties). Judgement: if speed and limited capital matter most, franchising fits her growth objective, PROVIDED she can enforce quality standards; if protecting the brand is paramount, organic growth is safer. State which and why. [12]

Case Study 2: TechNova

- (a) $(45/300) \times 100 = 15\%$. [2]
- (b) Empowerment = giving employees greater control and authority over their own work/decisions. [2]
- (c) Chains, e.g.: training raises skills and confidence -> staff feel valued and cope better -> higher job satisfaction -> fewer leave. Team working meets social needs (Mayo) -> belonging -> lower turnover. Empowerment gives responsibility (Herzberg motivator/Maslow esteem) -> motivation -> retention. Link to lower recruitment/training costs. [8]
- (d) Changing from autocratic to a more democratic/paternalistic style could raise morale by involving staff and meeting higher needs, BUT low pay is also a cause (Herzberg hygiene factor) so style change alone may not fix dissatisfaction; training and better pay may be needed too. Judgement: style change helps but is unlikely to be sufficient on its own - a combination is best. [12]

Case Study 3: FreshFizz

- (a) Market segmentation = dividing a market into groups of customers with similar characteristics/needs. [2]
- (b) $(5/40) \times 100 = 12.5\%$. [2]
- (c) Primary research gives up-to-date, specific data on what health-conscious young adults want -> better product/price decisions -> lower risk of launch failure -> less wasted marketing spend -> higher chance of sales. Note cost/time as a balancing point. [8]
- (d) Penetration (low price) wins share fast in a competitive drinks market and encourages trial, but earns low margins. Skimming (high price) suits a distinctive/premium health product and recovers development costs, but risks low volume and rival entry. Judgement: because it is a new entrant with only 12.5% share in a mass market, penetration is likely better to build share and awareness - unless the drink is truly unique, when skimming fits. Justify choice. [12]

Case Study 4: BuildRight

(a) $(5,200/8,000) \times 100 = 65\%$. [2]

(b) Lead time = the time between placing an order for inventory and receiving it. [2]

(c) JIT reduces inventory held -> lower storage costs and less capital tied up -> improved cash flow; less waste/obsolescence of materials. But note dependence on reliable suppliers as the balancing analysis. [8]

(d) Flow production: lower unit costs, faster output to meet rising demand, economies of scale, BUT high machinery cost, inflexible (harder to make varied/custom furniture), disruption and possible redundancies during changeover, and only worthwhile if demand is high and steady. Judgement: switch only if demand is large and standardised enough to justify the investment; otherwise batch keeps flexibility. [12]

Case Study 5: GreenGro

(a) Contribution per unit = $40 - 24 = \$16$. Break-even = $96,000/16 = 6,000$ units. [4]

(b) Net cash flow = $60,000 - 68,000 = -\$8,000$. Closing balance = $10,000 - 8,000 = \$2,000$. [4]

(c) Two sources developed, e.g.: bank loan - large lump sum, control kept, but interest and repayments strain cash flow (already tight per part b). New partner/share capital - raises funds without repayment/interest, shares risk, BUT dilutes control and profit. Match to the situation. [8]

(d) Break-even shows the 6,000-unit target, the margin of safety and the effect of price/cost changes - useful for planning and persuading lenders. BUT it assumes all output is sold and constant costs/price, ignores market changes, and is only as good as the estimates used. Judgement: a useful planning guide for the owner but should not be relied on alone. [12]